

Tamweel Aloula (KSA)

LIMITS APPLICATION

Functional Specification Document



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1. Background

This Document has been prepared by Banking Financial Service (BFS) (SYSTEMS LTD) in response to requirement identified by BFS during Business Process Review (BPR), to develop certain functionality in T24. However, BFS doesn't have a limit management structure in place in production. Therefore, due to this aspect BFS (SYSTEMS LTD) will be deploying a model bank structure in Bank.

By signing this document or otherwise approving or accepting it, Tamweel Aloula indicates its acceptance and approval to proceed with the work involved in designing proposed functionalities through parameterization and configuration.

1.1 Introduction

This document explains the understanding of T24 core limit module and explains the functional method for arriving at a solution.

1.2 Reference Documents

Reference Document	Description/Path	Author, Company
BPR and Gap Analysis	 WS_LI_BPR_GAP_ANALYSIS V1.0.xlsx	

1.3 Functional Overview

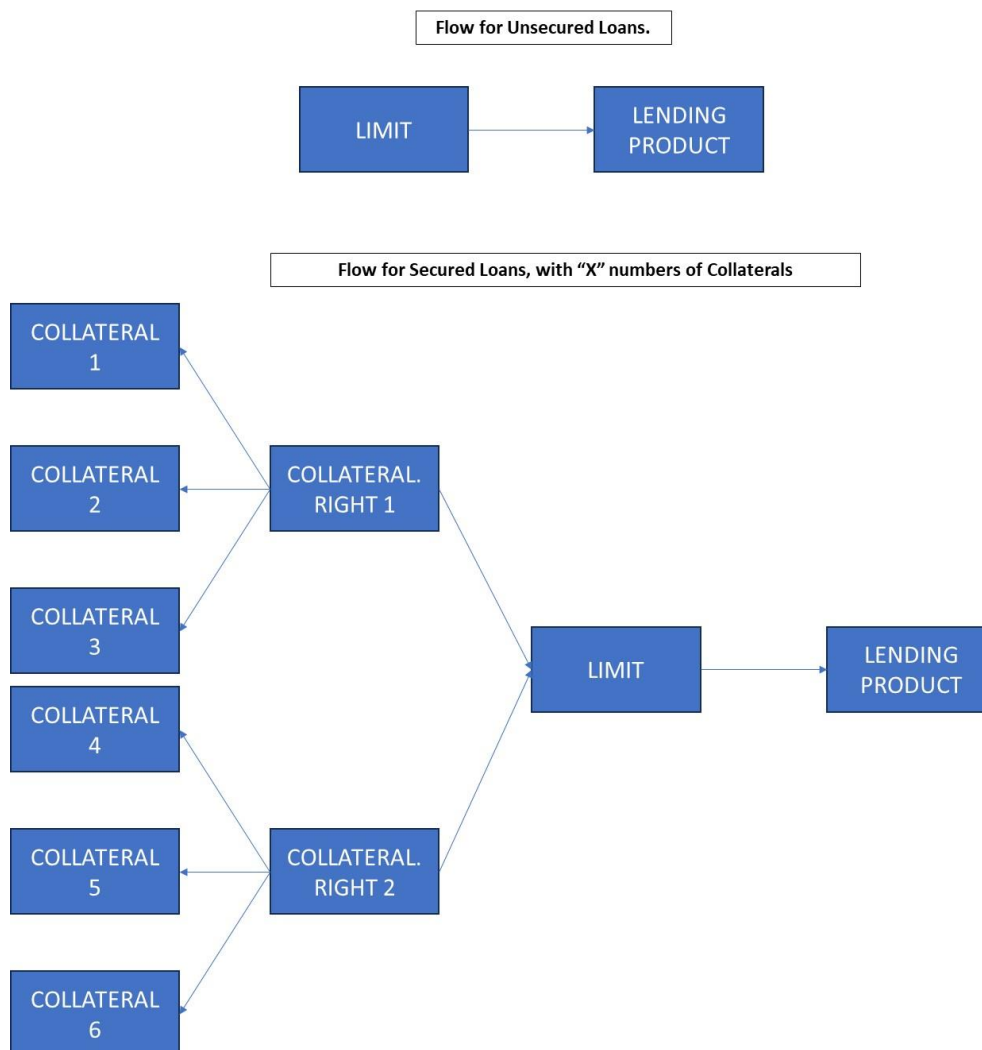
The LIMIT system controls credit risk against customers. Customer limits are monitored in real-time during T24 on-line transaction processing. Other limits are monitored and reported on during the T24 overnight batch.

1.4 Requirements

There was one gap which are identified during the BPR session. Therefore, core limit module of T24 will be delivered with Configuration, along with the Customization mentioned in BPR. Gap is mentioned below for the reference.

Gap Number	Description	Gap Type	Gap Effort
WS-LI-TA-01	For Limit product fixed will be set as default	Customization	Medium

1.5 Flow Chart of Limit and Collateral in Transact



2. Existing Functionality

2.1 Existing Workflow

Below is the key functionality the system provides for the creation of limits in the system.

1. Limit Parameter
2. Limit Reference
3. Limit (Deal Processing)

3. Workflow Description

3.1 LIMIT PARAMETER

Within this file are defined parameters that determine the way in which the LIMIT system operates. Only one record with an ID of SYSTEM is required. In summary the LIMIT.PARAMETER controls the following:

- * An indicator to specify whether Foreign Exchange contracts are, or are not, to be netted before LIMIT comparison.
- * A 'number of days' to define how many days prior to LIMIT Expiry Date and Review Date the approach of these events is to be reported.

- * A date and cycle to indicate when the first revaluation occurs and at what frequency thereafter.
- * A date and cycle to indicate when a full Central Liability report (including those Liability number's which did not move) needs to be produced in the back-end process.
- * A date and cycle to indicate when the Commodity, Country and Currency reports must be produced.
- * A number of days; administrative extension days, define the maximum number of days by which the expiry date of a LIMIT can be "administratively" extended before a new expiry date must be assigned to the LIMIT.
- * The LIMIT product definition according to the specific requirements of the Bank. The most important feature of this file is that it allows the user, for each financial application, to define the precise rules applicable to an environment. In this way, the user can establish the LIMIT verification process according to a user's own set of rules without any program maintenance.
- * Some other general definitions.

LIMIT.PARAMETER	Audit
LIMIT.PARAMETER / SYSTEM	
Net Outstanding	N
Expiries Reporting	5
Reviews Reporting	5
Revaluation Time	29 JAN 2024 M0131 - 29 JAN 2024 Monthly on the last day of the month
Full Cll Report	29 JAN 2024 M0131 - 29 JAN 2024 Monthly on the last day of the month
Commodity Exp Day	29 JAN 2024 M0131 - 29 JAN 2024 Monthly on the last day of the month
Full Commodity Exp	29 JAN 2024 M0131 - 29 JAN 2024 Monthly on the last day of the month
Country Exp Day	29 JAN 2024 M0131 - 29 JAN 2024 Monthly on the last day of the month
Full Country Exp	29 JAN 2024 M0131 - 29 JAN 2024 Monthly on the last day of the month
Currency Exp Day	29 JAN 2024 M0131 - 29 JAN 2024 Monthly on the last day of the month
Full Currency Exp	29 JAN 2024 M0131 - 29 JAN 2024 Monthly on the last day of the month
Adm Extension Days	5

LIMIT.PARAMETER	Audit
Application 5 ACCOUNT	
Product No 5.1 600 - Export Packing Credit	
Decis Field 5.1 CATEGORY	
Decision 5.1 Eq	
Decision Fr 5.1 1005	
Application 6 ACCOUNT	
Product No 6.1 8080 - AZ Loans Revolving	
Decis Field 6.1 CATEGORY	
Decision 6.1 Eq	
Decision Fr 6.1 3200	
Decision To 6.1 3999	

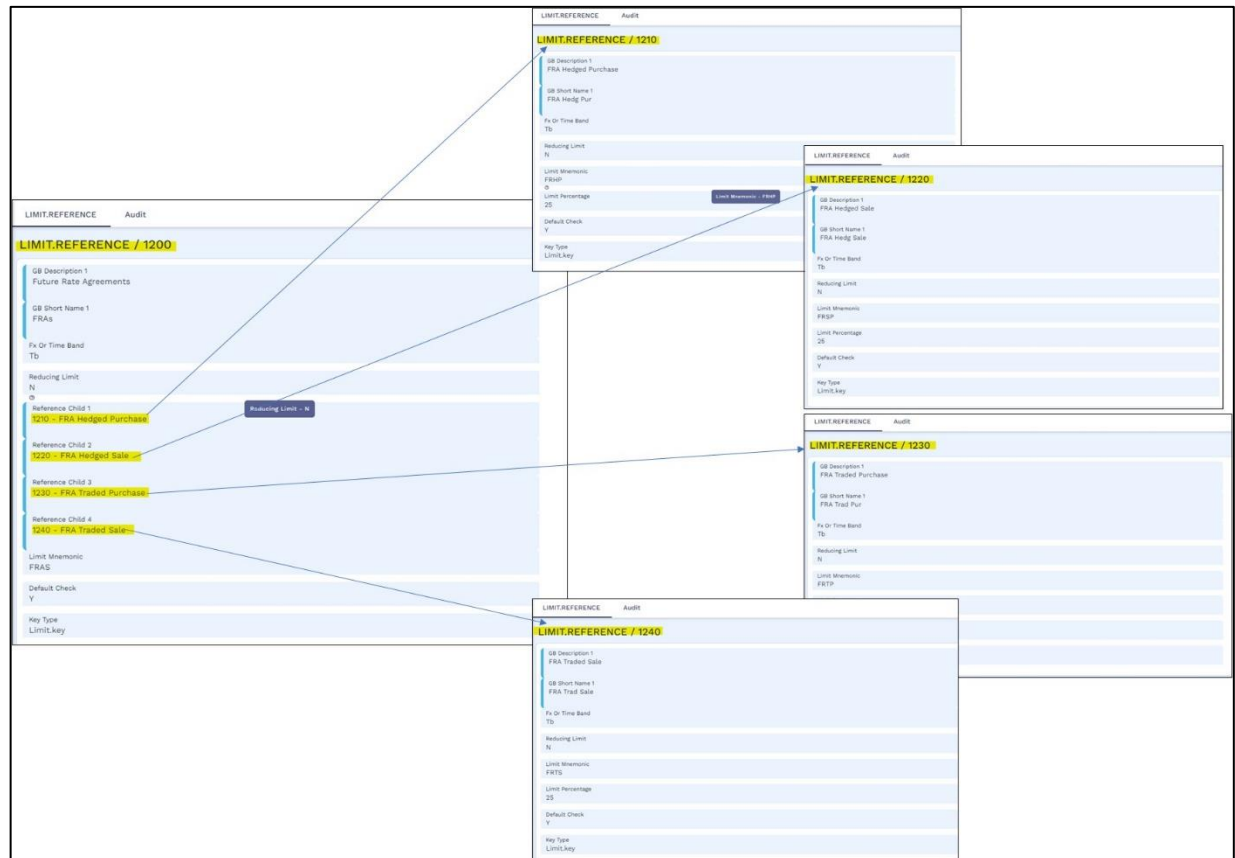
The product group definition that allows the user to specify the different products, which in his opinion, must be part of the Commodity, Country, or Currency exposure.

Com Product Grp 1 ALL-LINES	Cou Product Grp 1 ALL-LINES	Ccy Product Grp 1 ALL-LINES
Com Prod No 1.1 100 - Advances in Current Accounts	Cou Prod No 1.1 100 - Advances in Current Accounts	Ccy Prod No 1.1 100 - Advances in Current Accounts
Com Prod No 1.2 400 - Vostro Accts	Cou Prod No 1.2 400 - Vostro Accts	Ccy Prod No 1.2 400 - Vostro Accts
Com Prod No 1.3 500 - Nostro Accounts	Cou Prod No 1.3 500 - Nostro Accounts	Ccy Prod No 1.3 500 - Nostro Accounts
Com Prod No 1.4 600 - Export Packing Credit	Cou Prod No 1.4 600 - Export Packing Credit	Ccy Prod No 1.4 600 - Export Packing Credit
Com Prod No 1.5 1000 - Foreign Exchange	Cou Prod No 1.5 1000 - Foreign Exchange	Ccy Prod No 1.5 1000 - Foreign Exchange
Com Prod No 1.6 1200 - Future Rate Agreements	Cou Prod No 1.6 1200 - Future Rate Agreements	Ccy Prod No 1.6 1200 - Future Rate Agreements
Com Prod No 1.7 1300 - DX Products	Cou Prod No 1.7 1300 - DX Products	Ccy Prod No 1.7 1300 - DX Products

3.2 LIMIT REFERENCE

This table defines various parameters and links contracts and accounts to LIMIT.REFERENCE. The key to this table is the product, defining the product hierarchy which is the second dimension to Limits. Each Limit type (known as LIMIT.REFERENCE within the system) can be defined as being part of a hierarchy, made up of a Product Limit and Sub-Product Limit.

Product Limits must be defined in this table and the sub-products which are to be included in product limits.



3.3 LIMIT

3.3.1 Limit Products

The second dimension to T24 limits is the product (Limit Reference). A LIMIT product is an area of business for which the user wishes to set limits. LIMIT products are defined on the LIMIT.REFERENCE application and are linked to the underlying business using the LIMIT.PARAMETER application.

Defining Valid Limits Products using LIMIT.PARAMETER

The LIMIT products that are valid for a particular contract or account are defined on the LIMIT.PARAMETER application. As LIMIT products are fully user-defined (on LIMIT.REFERENCE), the mechanism for linking contracts and accounts to these products also needs to be fully user-defined. It is based upon any characteristic of the contract or ACCOUNT including, if required, local reference fields.

The parameter defines which LIMIT products are valid for a contract or account it defaults the LIMIT product, if no input is made.

For loans, two LIMIT products may be valid, a secured loan and an unsecured loan. The user has to distinguish between the two when the loan is input. If no distinction is made, then T24 applies a default of the first applicable product.

If the loan does not meet either of the above criteria, then the LIMIT product corresponding to the "parent" product is used. T24 insists that there is always a default specification for each application being used. It can appear anywhere on LIMIT.PARAMETER. All other specifications for the application are checked in turn working down the LIMIT.PARAMETER record. When a match is found, the checking stops.

3.3.2 Limit Products Hierarchy — Products and Sub-Products

Some products may require a hierarchy of limits. Upon setting LIMIT.REFERENCE on "Txn.ref", LIMIT application will generate the ID automatically. These ID start with "LI" followed by combination of alphanumeric characters. The LIMIT.REFERENCE application links various limit products to the business

application. The ID to this application is the product, defining the product hierarchy which is the second dimension to limits. Each limit product (LIMIT.REFERENCE within the system) can be defined as being part of a hierarchy and consists of;

- Product limit (Revolving / Non-Revolving)
- Sub-product limit (Revolving / Non-Revolving)

Below is the screenshot representing the same,

Child Reference(REFERENCE CHILD), used in LIMIT.REFERENCE records that have a link with lower-level records. This mentioned field is used to provide sub-products level.

The hierarchy of the limit structure will be presented as below screen shot in LIMIT application.

Please note Limits can be maintained at any level in the structure and is updated automatically.

3.3.3 Revolving / Non-Revolving

Limit maybe either Revolving (Non-Reducing) or Non-Revolving (Reducing).

If limit is Revolving (Non-Reducing), as payments are being made then the limit amount will increase but will not go beyond the original limit amount set in Limit application. If a limit is Non-Revolving (Reducing), the limit is reduced to the extent of credit transaction affecting the debit balance in the account. This happens upon authorization of such a transaction. The repayments of such credit transaction do not restore the limit.

This specification is made on the LIMIT.REFERENCE application using the field REDUCING.LIMIT.

If set to 'Y', the limit is Non-Revolving (Reducing)

If set to 'N', the limit is Revolving (Non-Reducing)

The system default is 'N'

This means that the definition is made by product or sub-product and not by the individual LIMIT. The following are examples of both Revolving and Non-Revolving LIMIT.REFERENCE record.

LIMIT.REFERENCE / 1410	
GB Description 1	Ijarah Finance - Child
GB Short Name 1	Ijarah - Child
Fx Or Time Band	Tb
Reducing Limit	Y
Limit Mnemonic	1410
Limit Percentage	100
Default Check	Y
Idl Allowed	Yes
Key Type	Txn.ref

LIMIT.REFERENCE / 100	
GB Description 1	Advances in Current Accounts
GB Short Name 1	Adv in Curr Acc
Reducing Limit	N
Limit Mnemonic	ADCA
Limit Percentage	100
Default Check	Y
Key Type	Limit.key

3.3.4 Mix of Revolving and Non-Revolving Limits in a Limit Hierarchy

Limits can have a mixture of Revolving and Non-Revolving limits in the same hierarchy, but with a limitation.

A Non-Revolving limit can be defined under a Revolving Parent Limit, but a Revolving Limit cannot be defined under a Non-Revolving Limit.

To clarify further:

- If the Parent product is Revolving, then Child reference can either be Revolving or Non-Revolving
- If the Parent product is Non revolving, then Child reference can only be Non revolving.



3.3.5 Secured Limits

When COLLATERAL is linked to a LIMIT, the LIMIT becomes secured.

When a LIMIT is secured, the LIMIT must be defined as either fixed or variable in the FIXED.VARIABLE field on the LIMIT record.

- Fixed means that the LIMIT is unaffected by the value of the COLLATERAL and the link is being made for information only.
- Variable means that the available amount of the LIMIT will correspond to the current value of the COLLATERAL.

3.3.5.1 Fixed Limit

A fixed limit is secured once a piece of collateral has been allocated to it. The following example shows how to set up a secured limit.

Secured joint Limit / LI2402900new

Currency: SAR - Saudi Riyal

Country of Risk: SA - Saudi Arabia | Country Percent: 100

Proposal Date: 29 JAN 2024

Approval Date: 29 JAN 2024

Offered Limit: 29 JAN 2024

Review Frequency: 29 JAN 2025 M0101 - 29 JAN 2025 Monthly on day 1

Expiry Date: 29 JAN 2025

Online Limit Date: 29 JAN 2024

Internal Amount: 1,000,000.00

Advised Amount: 800,000.00

Fixed Variable: **Fixed**

Maximum Total: 800,000.00

Available Marker: Y

Secured joint Limit / LI2402900new

Collateral Code: 700 - Fixed Assets | Max Value: 800,000.00

Collateral ID: 1000671

Secured Asset: 800,000.00

The customer Limit record must be in the system before a COLLATERAL.RIGHT record can be input with the LIMIT.

Collateral Link / 1000671 HAFIZ

Customer: 100067 - HAFIZ

Collateral Code: 700 - Fixed Assets

Collateral Priority: 1

Limit Group/Company: BNK - SA0010001

Limit Reference: LI2402900new - Ijarah - Child

Valid Date: 29 JAN 2024

Once the LIMIT has been entered in the system, a COLLATERAL.RIGHT record should be entered for the customer. The LIMIT ID should be entered into the field LIMIT.REFERENCE in the COLLATERAL.RIGHT. This links the LIMIT to the collateral.

Collateral	Audit
Collateral Details / 100067.1.1 HAFIZ	
Collateral Type	700 - Fixed Assets
Customer Id	100067 - HAFIZ
Collateral Code	700 - Fixed Assets
Collateral Right Id	100067.1
Description 1	VEHICLE COLLATERAL
Currency	SAR - Saudi Riyal
Country	SA - Saudi Arabia
Nominal Value	1,000,000.00
Execution Value	850,000.00
Value Date	29 JAN 2024

Once the collateral record has been authorized, the LIMIT record is updated with the collateral details.

Secured Joint Limit	Limit Details	Collateral Details	Other Details	Intraday Limit	Signatory Details	Audit
Secured joint Limit / LI2402900new						
Collateral Code 1	700 - Fixed Assets	Max Value 1	800,000.00			
Collateral ID 11	100067.1	Secured Asset 11	800,000.00			

3.3.5.2 Variable Limit

The facility requires security to be indicated by specifying whether the online LIMIT should be system-maintained. This determines whether the limit is variable, meaning that the value of the collateral will be updated when the system goes online, reflecting any changes in market value, or whether the limit is fixed at the maximum allowed amount.

The field ONLINE.UPDATE controls the online update of fed (cash) type collateral. Setting a limit to "Variable" enables control over the limit amount through adjustments in the Collateral Amount. If the Collateral Amount decreases, the limit amount will be restricted to the new Collateral Amount. Conversely, if the Collateral Amount is greater than or equal to the limit amount, the system will allow the customer to utilize the full limit amount.

Secured Joint Limit	Limit Details	Collateral Details	Other Details	Intraday Limit	Signatory Details	Audit
Secured joint Limit / LI2402900new						
Currency	SAR - Saudi Riyal					
Country of Risk 1	SA - Saudi Arabia		Country Percent 1	100		
Proposal Date	29 JAN 2024					
Approval Date	29 JAN 2024					
Offered Until	29 JAN 2024					
Review Frequency	29 JAN 2025 M0101 - 29 JAN 2025 Monthly on day 1					
Expiry Date	29 JAN 2025					
Online Limit Date	29 JAN 2024					
Internal Amount	1,000,000.00					
Advised Amount	800,000.00					
Fixed Variable	Variable					
Maximum Total	800,000.00					
Available Marker	Y					

4. Proposed New Product Functionality

4.1 WS-LI-TA-01

For Limit product fixed will be set as default

4.1.1 Existing Functionality

Currently, the field FIXED.VARIABLE in the LIMIT application is set to blank. This is an editable field where users can select from Clear, Fixed, or Variable as needed, as shown in the screenshot below.

The screenshot displays the 'Secured Joint Limit' application form. The form includes tabs for 'Secured Joint Limit', 'Limit Details', 'Collateral Details', 'Other Details', 'Intraday Limit', 'Signatory Details', and 'Audit'. The 'Limit Details' tab is active, showing the title 'Secured joint Limit / LI24029J3T6P'. Below the title, there is a 'Currency' dropdown menu. A section for 'Country of Risk 1' and 'Country Percent 1' is visible. A list of dates with calendar icons follows: 'Proposal Date', 'Approval Date', 'Offered Until', 'Review Frequency', 'Expiry Date', 'Online Limit Date', and 'Last Draw Date'. Below these are 'Internal Amount' and 'Advised Amount' fields. At the bottom, the 'Fixed Variable' dropdown menu is open, showing three options: 'Clear', 'Fixed', and 'Variable'. The 'Fixed' option is highlighted in yellow.

4.1.2 Proposed Functionality

To address the mentioned requirements, a new version of Secured Limit will be created specifically for Tamweel. In this new version, the field FIXED.VARIABLE will be set to Fixed. This field will allow the user to make changes if necessary.

Once the new version is created, the VERSION application will have AUTOM.NEW.CONTENT set to Fixed. When booking the new secured limit, the field FIXED.VARIABLE will be displayed as Fixed. This is illustrated in the screenshot below.

The screenshot displays the 'VERSION' application form. The form has tabs for 'VERSION' and 'Audit'. The 'VERSION' tab is active, showing a list of content items. The first item is 'Autom Field No 2' with a value of 'FIXED.VARIABLE'. The second item is 'Aut Old Content 2'. The third item is 'Aut New Content 2' with a value of 'FIXED'. The 'FIXED' value is highlighted in yellow.

The required result will be as required,

4.2 New and Amended Table

Below new version for Secured limit and Unsecured limit will be added.

ID Name	Type	Length	Description
TA.SECURED.LIMIT	Hard Text	10	In order to set FIXED.VARIABLE field to Fixed .
TA.UNSECURED.LIMIT	Hard Text	10	Tamweel Aloula specific same as cored.

5. Reporting (Enquires and COB Reports)

Standard reports and inquires pertaining to limit module will be provided made available.

6. Tamweel Aloula Limit Products and Structure

Below are the limit products and structure that discussed during the BPR session.

	Limit Level	Limit Reference ID	Limit Reference Description
Limit Reference	PARENT	1400	TA Personal Finance
	CHILD	1410	TA Personal Finance
Limit Reference	PARENT	1500	TA Ijarah Financing
	CHILD	1510	TA Ijarah Financing
Limit Reference	PARENT	1600	TA Home Finance
	CHILD	1610	TA Home Finance
Limit Reference	PARENT	1700	TA Murahbah Finance
	CHILD	1710	TA Murahbah Finance

Note:

1. Limit Reference ID may change in the final version. However, the structure will remain the same.
2. Limit Reference will be set up on Txn.ref.
3. All limit reference will be set to non-revolving. Bank currently have four (4) products.
4. Separate Category code for each bank's product.
5. There is no group loan in the bank currently